

IT'S A CLEAR Thursday morning in Mumbai. The occasion: IndiGo's inaugural flight to its 100th destination—Ras Al-Khaimah, in the UAE. Some employees, dressed up in traditional Maharashtrian and Emirati attire, wait at the check-in counter. Soon, Pieter Elbers, IndiGo's new CEO, bounces in and goes around greeting the staff members. "Now with Covid-19 behind us, we can start to rebuild, and that's already happening. Our staff is doing a wonderful job and getting a lot of positive customer feedback," an energetic Elbers tells *BT* during a late-night interaction in Ras Al-Khaimah.

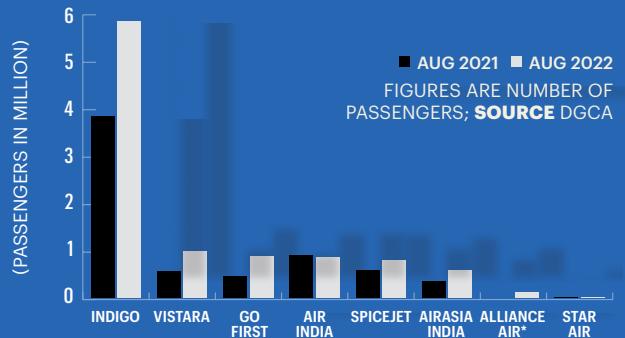
Before joining IndiGo, India's largest airline, Elbers was the CEO of KLM Royal Dutch Airlines, the world's oldest passenger carrier. Notably, KLM is a full-service carrier (FSC), while IndiGo is a low-cost carrier (LCC). So, the choice of Elbers to head IndiGo might initially surprise, but the rationale is to spread the airline's wings globally. There are other priorities, too.

The airline industry is witnessing rising competition, and IndiGo itself faces a raft of challenges. From a competitive viewpoint, the Tatas are investing in making Air India a quality brand again, besides strengthening their other FSC Vistara, and newbie LCC Akasa Air is steadily increasing routes since its August launch. Jet Airways' re-entry, although delayed, seems inevitable. Then, IndiGo has come off a pummelling from Covid-19 in FY21 and recovered its top line somewhat in FY22 but losses have climbed and margins have shrunk, and it fails to pass muster in the most critical metric—customer service. Not to mention a bruising legal and emotional battle between the company's two founders that is now over, but the embers remain. The new CEO will surely have his hands full as he seeks to take the company forward in the coming months.

Co-founded by Indian entrepreneur Rahul Bhatia and ex-US Airways CEO Rakesh Gangwal, IndiGo is known for its unconventional approach. Over 16 years, the company has proven its detractors wrong through one of the lowest cost per available seat kilometre (CASK), slots at all metro and non-metro airports, a

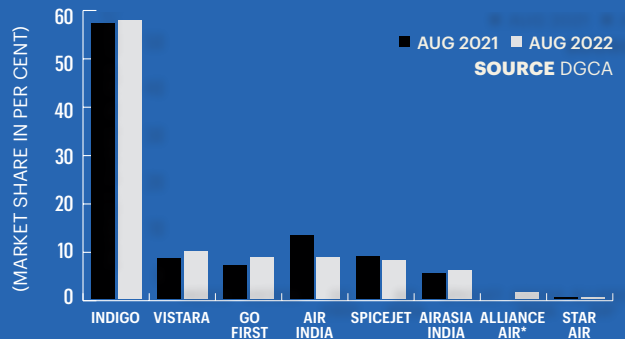
FREQUENT FLYERS

Market leader IndiGo carried 5.83 million passengers in August 2022



AERIAL WARFARE

With a market share of 57.7 per cent in August 2022, IndiGo is India's largest passenger carrier



*Operated as Air India's regional subsidiary till April 14, 2022; Akasa Air was launched on August 7, 2022

high aircraft-to-destination ratio, stable flight schedules, and a well-thought-out strategy of only fighting one battle at a time. "It has to be acknowledged unreservedly that IndiGo has built a formidable airline," says G.R. Gopinath, founder of Air Deccan, India's pioneering LCC that was acquired by the now-defunct Kingfisher Airlines. "A massive fleet of nearly 300 Airbus and ATR aircraft added at a scorching pace, and an immense network that connects... the far corners of the country. The airline has also made impressive inroads into international routes."

The airline was born when there were no pilot training facilities available to private players; and no